



Advanced College Accounting (115) **STATE 2025**

Multiple Choice & Short-Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short-Answer Problems (29 @ 2 points each) _____ (58 points)

Production Portion:

Problem 1: Uncollectible Accounts (10 @ 2 points each) _____ (20 points)

Problem 2: Multi-Step Income Statement (35 @ 2 points each) _____ (70 points)

Problem 3: Partnership Liquidation (35 @ 2 points each) _____ (70 points)

TOTAL POINTS _____ **(248 points)**

Graders: Please double check and verify all scores and answer keys!

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice: (30 points, 2 each)

1. C
2. A
3. A
4. C
5. D
6. C
7. A
8. C
9. B
10. A
11. A
12. B
13. C
14. A
15. B

SHORT-ANSWER QUESTIONS

SAQ #1 (16 POINTS, 2 POINTS EACH ACCOUNT & AMOUNT, NO POINTS FOR DATE):

Note: if accounts are abbreviated it is OK.

	JOURNAL		PAGE 11
DATE	ACCOUNT DESCRIPTION,	DEBIT	CREDIT
SEPT 12	CASH	500	
	ACCUMULATED DEPRECIATION EQUIPMENT	6200	
	EQUIPMENT		6200
	GAIN ON THE SALE OF EQUIPMENT		500

SAQ #2 (8 POINTS, 2 POINTS EACH) Note: if accounts are abbreviated it is OK.

	JOURNAL		PAGE 11
DATE	ACCOUNT DESCRIPTION	DEBIT	CREDIT
AUG 9	NOTE RECEIVABLE	11,233	
	ACCOUNTS RECEIVABLE		11,233

SAQ #3 (14 POINTS, 2 POINTS EACH)

YR	Beginning Balance A/R	Net Credit Sales	Write Offs	Reinstated Write Offs	Collections on A/R	Ending Balance
2021	11,556	482,148	5,026	865	475,699	13,844
2022	13,844	526,333	2451	156	521,995	15,887
2023	15,887	539,744	3,288	10	535,885	16,468
2024	16,468	562,112	4,433	542	541,266	33,423

SAQ #4 (20 POINTS, 2 POINTS EACH)

Cash Dividends		Dividends Payable	
25,000			22,000
	25,000	22,000	
0			25,000
			25,000
Cash			
	22,000		
Income Summary		Retained Earnings	
	346,207		102,555
298,631			47,576
47,576		25,000	
0			125,101

PROBLEMS:**PROBLEM #1 (20 POINTS, 2 POINTS EACH)****Note:** No points awarded for date

Days Out	Amount	Estimated % Uncollectible	Estimated Amount Uncollectible
Current	\$67,850.00	4%	\$2,714
30-60 days	\$18,475.00	6%	\$1,109
61-120 days	\$5,540.00	9%	\$499
121-180 days	\$3,785.00	20%	\$757
181 days & over	\$1,200.00	50%	\$600
TOTAL	xxx	xxx	\$5,679

DATE	ACCOUNT	DEBIT	CREDIT
Dec 31	Bad Debt Expense	6,524	
	Allowance for Doubtful Accounts Or Allow for Uncollectible Accts		6,524

PROBLEM #2 (70 POINTS, 2 POINTS EACH)

Must have a three-line title.

Must state “For the year ended”

CORNWELL CORPORATION		
INCOME STATEMENT		
For the year ended DECEMBER 31, 2024		
SALES REVENUE		185,745
LESS COGS		47,557
GROSS PROFIT		138,188
OPERATING EXPENSES:		
SUPPLIES	1,832	
UTILITIES	1,488	
SALARIES	34,054	
OFFICE	974	
DEPRECIATION	2,100	
TOTAL OPERATING EXPENSES:		40,448
OPERATING INCOME		97,740
OTHER INCOME (EXPENSES)		
INTEREST REVENUE	132	
GAIN ON THE SALE OF EQUIPMENT	1,130	
INTEREST EXPENSE	(1,102)	
TOTAL OTHER INCOME (EXPENSE)		160
NET INCOME		\$97,900

PROBLEM #3 (70 POINTS, 2 POINTS EACH)

Red, White, and Blue						
Statement of Partnership Liquidation						
March 1-18, 2024						
	Cash	Non-Cash Assets	Liabilities	Red, Capital	White, Capital	Blue, Capital
Balances before Realization	211,000	87,000	37,500	130,500	75,500	54,500
Sale of Non-Cash Assets and division of loss	51,000	-87,000		-18,000	-9,000	-9,000
Balances after Realization	262,000	0	37,500	112,500	66,500	45,500
Payment of Liabilities	-37,500		-37,500			
Balances after Payment of Liabilities	224,500	0	0	112,500	66,500	45,500
Cash Distributed to Partners	-224,500			-112,500	-66,500	-45,500
Final Balances	0	0	0	0	0	0